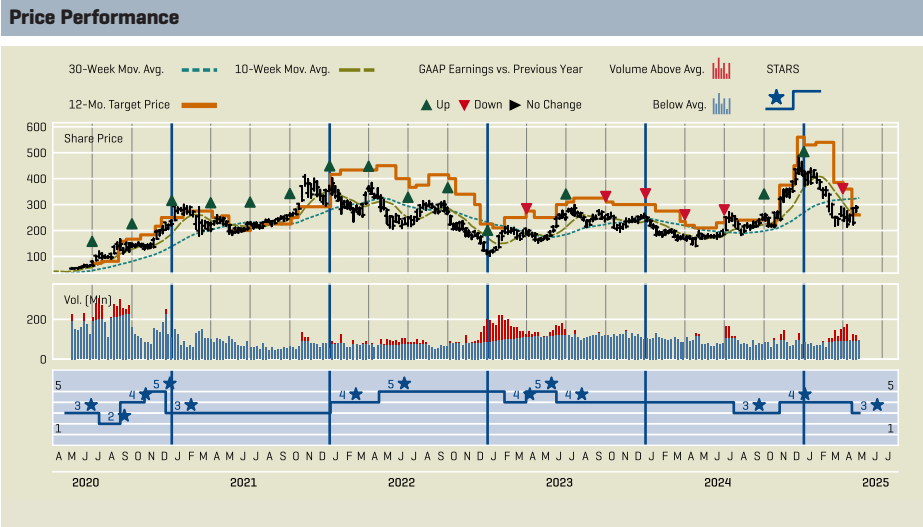


Recommendation	HOLD	★★★★★	Price	12-Mo. Target Price	Report Currency	Investment Style
			USD 298.26 (as of market close May 09, 2025)	USD 260.00	USD	Large-Cap Growth

Equity Analyst Garrett Nelson

GICS Sector	Consumer Discretionary	Summary	Tesla designs, develops, manufactures, and sells high-performance fully electric vehicles (EVs) and components, as well as a full suite of renewable energy products.
Sub-Industry	Automobile Manufacturers		

Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports)							
52-Wk Range	USD 488.54 - 167.41	Oper.EPS2025E	USD 2.00	Market Capitalization[B]	USD 917.39	Beta	2.43
Trailing 12-Month EPS	USD 2.24	Oper.EPS2026E	USD 2.90	Yield [%]	N/A	3-yr Proj. EPS CAGR[%]	-3
Trailing 12-Month P/E	133.15	P/E on Oper.EPS2025E	149.13	Dividend Rate/Share	N/A	SPGMI's Quality Ranking	B-
USD 10K Invested 5 Yrs Ago	54,598.0	Common Shares Outstg.[M]	3,220.00	Trailing 12-Month Dividend	N/A	Institutional Ownership [%]	48.0



Source: CFRA, S&P Global Market Intelligence
Past performance is not an indication of future performance and should not be relied upon as such.
Analysis prepared by Garrett Nelson on Apr 22, 2025 06:50 PM ET, when the stock traded at USD 237.97.

Highlights

- We estimate TSLA's revenue will decline 5% in 2025 before increasing by 26% in 2026, after increases of 2% in 2024 and 19% in 2023. The primary driver of the 2025 decline is lower auto sales volumes, which we forecast will decline 10% Y/Y. TSLA's Model Y and Model 3 are the two best-selling EVs in the U.S. by a wide margin, and TSLA made its first deliveries of the Cybertruck in November 2023. TSLA's Energy Storage segment has also become a key growth driver [revenue +67% in 2024].
- We see TSLA's vehicle sales declining 10% in 2025 before increasing by 24% in 2026, after declining 1% in 2024 and rising by 38% in 2023. Tesla completed the construction of new factories in Austin and Berlin in early 2022, as it aims to deliver on its goal of increasing annual volumes to 20M units in 2030 [a 40x jump over 2020 levels]. TSLA's 2024 vehicle sales of 1.79M units were down about 1% from 1.81M units in 2023, but up from 1.31M in 2022 and 936K in 2021.
- We see adjusted EPS of \$2.00 in 2025 and \$2.90 in 2026, vs. \$2.42 in 2024 and \$3.12 in 2023. TSLA has an investment-grade balance sheet with cash of \$37.0B and total debt [ex-product financing] of only \$7.2B at the end of Q1 2025.

Investment Rationale/Risk

- Our Hold rating reflects a mix of both positive and negative investment considerations. The positives include TSLA's superior gross margins, its investment-grade balance sheet [\$37B of cash at the end of Q1 2025], lesser tariff exposure relative to other automakers, robust energy generation and storage segment growth, and the potential for future products to drive robust sales and earnings growth longer term [software sales, robotics, etc.]. The negatives include recent EV market share declines across its three major markets of the U.S., Europe, and China, weakness in EV sales and prices, expensive valuation relative to peers, and brand damage stemming from CEO Elon Musk's political involvement.
- Risks to our rating and target include weaker-than-expected sales growth, development and regulatory risks, and various risks related to CEO Elon Musk.
- Our 12-month price target of \$260 is based on a 2026 P/E of 90x, a significant but justified premium to automaker peers. TSLA's valuation premium relative to auto competitors reflects various technologies in development, including a ride-hailing app, a humanoid robot, AI computing, and fully self-driving vehicles.

Analyst's Risk Assessment

LOW	MEDIUM	HIGH
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Our risk assessment reflects the highly competitive nature of the auto industry and potential execution risk for the company, partly offset by the potential dramatic volume growth we expect for the company.

Revenue/Earnings Data

Revenue (Million USD)					
	1Q	2Q	3Q	4Q	Year
2026	E 25,677	E 27,846	E 30,277	E 33,655	E 117,455
2025	19,335	E 23,274	E 24,301	E 26,069	E 92,979
2024	21,301	25,500	25,182	25,707	97,690
2023	23,329	24,927	23,350	25,167	96,773
2022	18,756	16,934	21,454	24,318	81,462
2021	10,389	11,958	13,757	17,719	53,823

Earnings Per Share (USD)					
	1Q	2Q	3Q	4Q	Year
2026	E 0.58	E 0.70	E 0.78	E 0.84	E 2.90
2025	0.27	E 0.50	E 0.58	E 0.65	E 2.00
2024	0.45	0.52	0.72	0.73	2.42
2023	0.85	0.91	0.66	0.71	3.12
2022	1.07	0.76	1.05	1.19	4.07
2021	0.31	0.48	0.62	0.85	2.26

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data

No cash dividends have been paid in the last year.

Business Summary Apr 22, 2025

Corporate Overview. Headquartered in Austin, Texas, Tesla manufactures and sells high-performance fully electric vehicles and components, as well as various renewable energy products, including solar, storage, and grid services. TSLA was the first to commercially produce a federally compliant electric vehicle, which achieved a market-leading range on a single charge. TSLA sells and services its vehicles through a company-owned sales and service network in North America, Europe, and Asia. Its direct-to-consumer model has significant advantages over the dealership networks of traditional automakers. Tesla has four reportable segments: Automotive sales [77% of total 2024 revenues], Automotive Leasing [2%], Energy Generation & Storage [10%], and Services & Other [11%]. At the end of 2024, Tesla had 125,665 employees, up from 140,473 at the end of 2023.

Tesla currently produces six vehicle models: the Model S, X, 3, Y, Cybertruck, and Semi. The Model S is a four-door, five-adult passenger sedan with a driving range of up to 335 miles on a single electric charge. Deliveries of the Model S commenced in June 2012. In September 2015, Tesla began deliveries of the Model X, an SUV that seats up to seven adults and offers high-performance features such as a fully electric, all-wheel drive dual motor system. In March 2016, the company began accepting deposits on orders for the Model 3, a mass-market, mid-sized premium electric sedan. Model 3 customer shipments commenced in July 2017. Tesla experienced numerous challenges in successfully ramping production to meet customer demand. TSLA's first delivery of the Model Y, a crossover SUV, took place on March 13, 2020, the first delivery of the Semi on December 1, 2022, and the first delivery of the Cybertruck on November 30, 2023. TSLA unveiled the Cybercab on October 10, 2024, a two-seat vehicle without a steering wheel or pedals, expected to cost less than \$30K and begin volume production by the end of 2026. TSLA also unveiled a prototype autonomous Robovan [capable of carrying up to 20 passengers] and showed off its newest version of the Optimus robot.

Tesla also sells and leases solar systems to residential and commercial customers, as well as sells renewable energy to residential and commercial customers at prices that are typically below utility rates. Since 2006, it has installed solar energy systems for hundreds of thousands of customers. The segment grew significantly via its 2016 acquisition of SolarCity.

Market Profile. Tesla's global vehicle deliveries totaled 1.789 million units in 2024, 1.809 million in 2023, 1.314 million in 2022, 936,172 in 2021, 499,647 in 2020, 367,656 in 2019, and 245,506 in 2018. The breakdown of Tesla's 2024 vehicle sales was 1,704,093 units for the Model 3 and Model Y and 85,133 units for all other models [the Model S, Model X, Semi, and Cybertruck]. In 2024, the breakdown of Tesla's total revenues by country was the U.S. [49%], China [21%], and Other [30%].

Impact Of Major Developments. In March 2020, TSLA made its first delivery of the Model Y, a crossover SUV. On November 21, 2019, TSLA introduced the Cybertruck pickup truck with an introductory price of \$39,900 for the standard version, which has a 250-mile range [first deliveries likely in 2023]. TSLA also has plans to manufacture an electric Semi-truck and to reintroduce its Roadster, an electric sports car model that it last produced in 2012. TSLA broke ground on its new factory in Germany in early 2020. On July 22, 2020, Tesla announced that its new U.S. factory would be built near Austin, Texas, with the plant expected to build the Cybertruck, Semi, Model 3, and Model Y vehicles for the eastern half of North America. Tesla held a ribbon-cutting ceremony at the Germany factory in March 2022, and the grand opening party for the Austin factory took place in April 2022. Development work surrounding a new plant in Monterrey, Mexico, began around mid-2023, but has since been halted.

As of January 29, 2025, the company said its annual installed vehicle production capacity was greater than 2.35 million units, consisting of 650,000 units at its Fremont factory in California [550,000 Model 3 and Y plus 100,000 for the Model S and X]; more than 950,000 units of Model 3/Y capacity at its Shanghai, China factory; 375,000 units of Model Y capacity at its Berlin factory; and more than 375,000 units at the Austin plant [250,000+ Model Y plus 125,000+ for the Cybertruck]. Tesla says its Cybercab and Semi are currently under construction, while its Roadster is currently in design development.

TSLA's long-term goal is to grow its annual vehicle sales volumes from roughly 500,000 units in 2020 to 20 million units by 2030, which would represent an increase of 40x. We estimate TSLA's sales volumes will total 1.61 million in 2025 and 2.00 million in 2026 [vs. 1.79 million in 2024 and 1.81 million in 2023].

Financial Trends. Tesla's revenues increased from \$81.5 billion in 2022 to \$96.8 billion in 2023 and \$97.7 billion in 2024, driven primarily by increasing vehicle sales. TSLA's adjusted EPS totaled \$4.07 in 2022, \$3.12 in 2023, and \$2.42 in 2024. In 2024, TSLA posted a 22% decline in adjusted EPS [\$2.42 vs. \$3.12] on a revenue increase of 1% [vehicle deliveries were down 1%] and gross margin contraction of 40 bps to 17.9%. In Q1 2025, TSLA posted a 40% decline in adjusted EPS [\$0.27 vs. \$0.45] on a revenue decline of 9% [vehicle deliveries were down 13%] and gross margin contraction of 100 bps to 16.3%.

As of March 31, 2025, TSLA had \$37.0 billion of cash and equivalents, up from \$36.6 billion at the end of 2024. Total debt [excluding vehicle and energy product financing] stood at \$7.2 billion, down from \$7.9 billion at year-end 2024.

Corporate information

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Chief Financial Officer
V. Taneja
Co-Founder, Technoking of Tesla, CEO & Director
E. R. Musk
Independent Chairwoman
R. M. Denholm

Board Members
E. R. Musk
J. R. Murdoch
I. M. Ehrenpreis
K. Musk
J. B. Straubel
K. Wilson-Thompson
J. Gebbia
R. M. Denholm

Domicile
Texas
Auditor
PricewaterhouseCoopers LLP

Founded
2003

Employees
125,665

Stockholders
9,512

Tesla, Inc.

Quantitative Evaluations						
Fair Value Rank	1	2	3	4	5	
	LOWEST		HIGHEST			
	Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued (1) to most undervalued (5).					
Fair Value Calculation	USD 179.00	Analysis of the stock’s current worth, based on CFRA’s proprietary quantitative model suggests that TSLA is overvalued by USD 119.26 or 39.99%				
Volatility	LOW		AVERAGE		HIGH	
Technical Evaluation	BEARISH	Since February, 2025, the technical indicators for TSLA have been BEARISH"				
Insider Activity	UNFAVORABLE		NEUTRAL		FAVORABLE	

Expanded Ratio Analysis					
	2024	2023	2022	2021	
Price/Sales	14.46	8.95	5.25	22.16	
Price/EBITDA	108.44	63.87	24.84	126.43	
Price/Pretax Income	157.13	86.83	31.20	188.04	
P/E Ratio	NM	79.64	30.27	NM	
Avg. Diluted Shares Outstg. [M]	3,498.00	3,485.00	3,475.00	3,386.00	
Figures based on fiscal year-end price					
Key Growth Rates and Averages					
Past Growth Rate [%]		1 Year	3 Years	5 Years	
Net Income		NM	8.71	52.42	
Sales		0.95	21.98	31.78	
Ratio Analysis [Annual Avg.]					
Net Margin [%]		7.26	12.72	10.14	
% LT Debt to Capitalization		6.34	4.00	9.13	
Return on Equity [%]		10.42	23.42	19.22	

Company Financials Fiscal year ending Dec 31										
Per Share Data [USD]	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
Tangible Book Value	22.55	19.53	14.00	9.59	7.54	2.24	1.77	1.51	1.81	0.54
Free Cash Flow	1.12	1.37	2.41	1.68	0.97	0.36	-0.09	-1.66	-0.72	-1.12
Earnings	2.04	4.30	3.62	1.63	0.21	-0.33	-0.38	-0.79	-0.31	-0.46
Earnings [Normalized]	2.42	3.12	4.07	2.26	0.75	0.01	-0.09	-0.58	-0.19	-0.15
Dividends	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Payout Ratio [%]	NM	NM	NM	NM	NM	NM	NM	NM	NM	NM
Prices: High	488.54	299.29	402.67	414.50	239.57	29.02	25.83	25.97	17.96	19.11
Prices: Low	138.80	101.81	108.24	179.83	23.37	11.80	16.31	14.06	9.40	12.09
P/E Ratio: High	NM	95.90	98.90	NM	NM	NM	NM	NM	NM	NM
P/E Ratio: Low	57.40	32.60	26.60	79.60	31.30	NM	NM	NM	NM	NM
Income Statement Analysis [Million USD]										
Revenue	97,690	96,773	81,462	53,823	31,536	24,578	21,461	11,759	7,000	4,046
Operating Income	7,659	8,891	13,692	6,523	1,951	80.00	-253.00	-1,632	-646.00	-717.00
Depreciation + Amortization	5,368	4,667	3,543	2,911	2,322	2,092	1,888	1,636	947.00	423.00
Interest Expense	350.00	156.00	191.00	371.00	748.00	725.00	653.00	477.00	192.00	119.00
Pretax Income	8,990	9,973	13,719	6,343	1,154	-665.00	-1,005	-2,209	-746.00	-876.00
Effective Tax Rate	20.40	-50.10	8.30	11.00	25.30	-16.50	-5.80	-1.40	-3.60	-1.50
Net Income	7,091	14,997	12,556	5,519	721.00	NM	NM	NM	NM	NM
Net Income [Normalized]	5,921	6,256	8,566	3,839	553.40	NM	NM	NM	NM	NM
Balance Sheet and Other Financial Data [Million USD]										
Cash	36,563	29,094	22,185	17,707	19,384	6,268	3,686	3,368	3,393	1,197
Current Assets	58,360	49,616	40,917	27,100	26,717	12,103	8,307	6,571	6,260	2,782
Total Assets	122,070	106,618	82,338	62,131	52,148	34,309	29,740	28,655	22,664	8,068
Current Liabilities	28,821	28,748	26,709	19,705	14,248	10,667	9,993	7,675	5,836	2,858
Long Term Debt	5,535	2,682	1,029	4,254	8,571	10,375	8,461	9,486	6,054	2,021
Total Capital	87,303	73,182	51,646	40,456	37,016	22,686	20,141	17,763	14,493	3,983
Capital Expenditures	11,342	8,899	7,163	6,514	3,232	1,432	2,319	4,081	1,440	1,635
Cash from Operations	14,923	13,256	14,724	11,497	5,943	2,405	2,098	-61.00	-124.00	-524.00
Current Ratio	2.02	1.73	1.53	1.38	1.88	1.13	0.83	0.86	1.07	0.97
% Long Term Debt of Capitalization	6.30	3.70	2.00	10.50	23.20	45.70	42.00	53.40	41.80	50.70
% Net Income of Revenue	7.30	15.50	15.40	10.30	2.30	-3.50	-4.50	-16.70	-9.60	-22.00
% Return on Assets	4.19	5.88	11.85	7.13	2.82	0.16	-0.54	-3.98	-2.63	-6.45
% Return on Equity	10.40	27.30	32.50	20.40	5.40	-10.70	-17.80	-38.80	-22.10	-89.10

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

Sub-Industry Outlook

CFRA's 12-month fundamental outlook for the Automobile Manufacturers sub-industry is neutral, with headwinds including risks to auto production rates from above-average inventory levels (particularly in the U.S.), negative sales impacts from elevated interest rates, and earnings risks posed by tariffs. These are offset by positives including still-elevated new vehicle prices, expectations for moderating interest rates, and fewer supply chain issues.

We estimate global vehicle sales will increase by 3.3% to 97.8 million units in 2025, versus 94.7 million in 2024. Global vehicle sales were up 2.6% in 2024, driven by increases in Europe [+5.1%] and North America [+3.2%], partially offset by Asia Pacific [+1.5%]. In China, the world's largest auto market (one-third of global volumes), sales volume rose 4.1% in 2024.

We estimate U.S. light vehicle sales will increase by approximately 2% to 16.2 million units in 2025. In 2024, U.S. new vehicle sales volume rose 2.2% to 15.85 million units, up from 15.50 million units in 2023. Above-average inventory levels and a pull-forward effect from consumers concerned about the possible impact of tariffs on prices should help boost sales, particularly in the first half of the year. U.S. auto sales still have not returned to pre-pandemic levels, when they exceeded 17 million units for an unprecedented five consecutive years from 2015 to 2019. As of March 31, 2025, U.S. new vehicle inventories stood at 70 days' supply, above the historic average level of 60 days.

On the positive side, wage growth and low unemployment rates should help support vehicle prices. We think margins will benefit from a combination of still-elevated new vehicle price realizations (\$47,462 in the U.S. in March 2025) and moderating pressures on raw material costs. However, tariffs and higher labor costs are concerns. Affordability has weighed on new vehicle sales over the past few years, but affordability has recently improved to its best level since August 2021 due to wage gains. According to Edmunds, the average monthly payment on a new vehicle loan was \$741 in Q1 2025 [+0.8% Y/Y], while the

average APR of 7.1% was flat with a year earlier.

We expect higher electric and hybrid vehicle sales to be a growth driver as numerous new models come to market. In 2024, EVs accounted for approximately 20% of all new vehicle sales worldwide and 8.1% in the U.S., respectively, up from percentages of 15.8% and 7.8% in 2023. EV sales rose by 25% globally and 7% in the U.S. in 2024.

Another major secular trend has been the growing popularity of pickup trucks and SUVs relative to passenger cars. Light duty vehicles accounted for 80.0% of new vehicles sold in the U.S. in 2023 (latest available), up from only 51.2% in 2010. The average vehicle on the road in the U.S. hit a record-high 12.6 years old in 2024, which should help support retail parts demand.

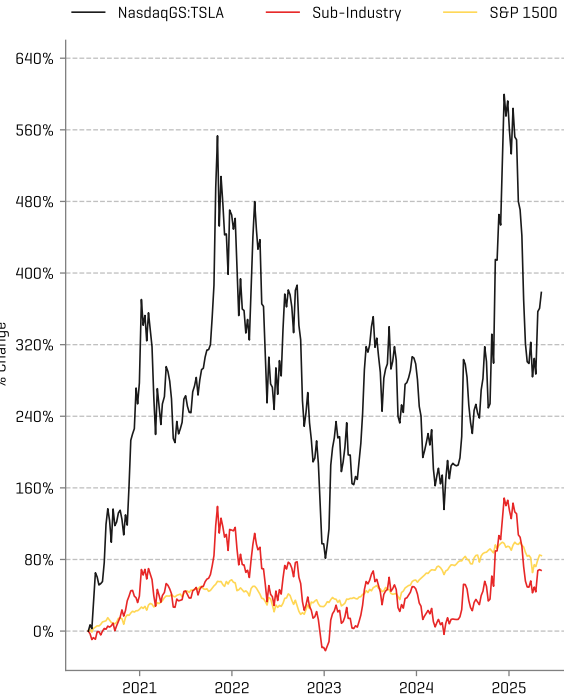
Year-to-date through April 11, 2025, the S&P Automobile Manufacturers Index was down 35.5% versus a 9.2% decline for the S&P 1500 Index. In 2024, the S&P Automobile Manufacturers Index rose 57.0% versus a 22.2% gain for the S&P 1500 Index, and was up 80.2% versus a 23.4% gain for the S&P 1500 Index in 2023. The sub-industry's five-year CAGR is 14.0% versus 12.8% growth for the S&P 1500 Index.

/ Garrett Nelson

Industry Performance

GICS Sector: Consumer Discretionary
Sub-Industry: Automobile Manufacturers

Based on S&P 1500 Indexes
Five-Year market price performance through May 10, 2025



NOTE: A sector chart appears when the sub-industry does not have sufficient historical index data.
All Sector & Sub-Industry information is based on the Global Industry Classification Standard (GICS).
Past performance is not an indication of future performance and should not be relied upon as such.
Source: CFRA, S&P Global Market Intelligence

Sub-Industry: Automobile Manufacturers Peer Group*: Automobile Manufacturers

Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. [M]	30-Day Price Chg. [%]	1-Year Price Chg. [%]	P/E Ratio	Fair Value Calc.	Yield [%]	Return on Equity [%]	LTD to Cap [%]
Tesla, Inc.	TSLA	NasdaqGS	USD	284.82	917,393.0	28.4	63.0	127.0	179.00	N/A	8.8	5.7
Ferrari N.V.	RACE	NYSE	USD	480.71	86,477.0	20.8	18.3	49.0	N/A	0.7	46.3	27.0
Ford Motor Company	F	NYSE	USD	10.28	40,879.0	18.3	-15.4	7.0	10.38	5.8	11.5	7.9
General Motors Company	GM	NYSE	USD	47.35	45,524.0	11.5	5.1	4.0	23.68	1.3	8.6	7.3
Honda Motor Co., Ltd.	HMC	NYSE	USD	30.23	42,984.0	19.9	-10.8	7.0	N/A	3.6	8.7	26.8
Li Auto Inc.	LI	NasdaqGS	USD	27.23	27,592.0	37.6	0.7	20.0	N/A	N/A	12.2	9.3
NIO Inc.	NIO	NYSE	USD	3.96	8,880.0	26.1	-24.1	NM	N/A	N/A	-103.9	24.2
Rivian Automotive, Inc.	RIVN	NasdaqGS	USD	13.68	15,683.0	26.7	33.2	NM	N/A	N/A	-53.7	40.0
Stellantis N.V.	STLA	NYSE	USD	9.88	28,407.0	15.8	-53.9	5.0	N/A	5.8	6.7	19.6
Toyota Motor Corporation	TM	NYSE	USD	187.92	239,355.0	18.0	-18.9	114.0	N/A	2.6	14.5	30.8
XPeng Inc.	XPEV	NYSE	USD	19.60	18,632.0	19.4	148.4	NM	N/A	N/A	-17.1	14.8

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.
NA-Not Available; NM-Not Meaningful.
Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

Tesla, Inc.

Analyst Research Notes and other Company News

April 22, 2025

06:50 PM ET... CFRA Lowers Opinion on Tesla Inc. Shares to Hold from Buy (TSLA 227.50***):

We lower our 12-month target by \$100 to \$260, on a 2026 P/E of 90x, justified by long-term growth expectations. We lower our adjusted EPS estimates by \$0.45 to \$2.00 for 2025 and by \$0.70 to \$2.90 for 2026. TSLA posted Q1 adjusted EPS of \$0.27 vs. \$0.45 [-40%], well short of the \$0.41 consensus. Net sales fell 9% to \$19.3B [\$2.0B short of consensus] and gross margin contracted 100 bps to 16.3% [60 bps ahead of consensus]. TSLA said it would revisit its 2025 guidance in its Q2 update, acknowledging it is difficult to measure the impacts of shifting global trade policy on the auto and energy supply chains. On the conference call, CEO Elon Musk said the time he spends with DOGE will drop significantly starting in May, prompting a rally in the stock. We lower our opinion to Hold, reflecting a mix of both positive and negative investment considerations. At the top of the list of concerns is our intermediate-term earnings growth expectation: we now believe TSLA's EPS won't rebound to 2023 levels until at least 2027. / Garrett Nelson

April 22, 2025

05:15 PM ET... TSLA: Q1 Results Well Short of Consensus; No Updated Guidance (TSLA 237.97***):

TSLA posted Q1 adjusted EPS of \$0.27 vs. \$0.45 [-40%], well short of the \$0.41 consensus. Net sales fell 9% to \$19.3B [\$2.0B short of consensus] and gross margin contracted 100 bps to 16.3% [60 bps ahead of consensus]. The top-line decline was primarily driven by a 20% drop in Automotive revenue, as deliveries were down 13%, combined with lower average selling prices. The company said it would revisit its 2025 guidance in its Q2 update, acknowledging it is difficult to measure the impacts of shifting global trade policy on the automotive and energy supply chains. On the positive side, TSLA said it remains on track for the pilot launch of Robotaxi in Austin by June and it plans to build the Optimus robot on the Fremont pilot production line in 2025. Additionally, TSLA said the Cybercab remains on track for volume production starting in 2026. Shares traded slightly higher after hours, which we think reflects better-than-expected gross margins and the fact its product timeline remains unchanged. / Garrett Nelson

April 02, 2025

11:53 AM ET... CFRA Reiterates Buy Opinion on Shares of Tesla, Inc. (TSLA 268.46***):

We lower our 12-month target by \$25 to \$360, based on a 2026 P/E of 100x, justified by long-term growth expectations. We lower our EPS estimates to \$2.45 from \$2.50 for 2025 and to \$3.60 from \$3.85 for 2026 on lower auto sales volume expectations. This morning, TSLA reported Q1 deliveries of 336,681 vehicles, short of the 377,000 consensus and our estimate of 360,000. The total represents a 13.0% decline from the 386,810 units sold in Q1 2024. Auto volumes were negatively impacted by the changeover of Model Y lines across all four factories, leading to several weeks of lost production. On the positive side, TSLA's higher-margin energy storage segment posted its second strongest quarter ever for deployments, up over 150% Y/Y to 10.4 GWh. While TSLA's Q1 deliveries were disappointing, shares are taking the release in stride [-1%] and we continue to expect a strong sequential rebound in auto volumes starting this quarter. We also view TSLA's lesser exposure to tariffs is an underappreciated aspect of the story. / Garrett Nelson

March 11, 2025

12:01 PM ET... CFRA Reiterates Buy Opinion on Shares of Tesla, Inc. (TSLA 222.15***):

We lower our 12-month target to \$385 from \$540, on a 2026 P/E of 100x, a significant but justified premium to automaker peers. We cut our 2025 EPS estimate to \$2.50 from \$2.90 and keep 2026 at \$3.85. According to CFRA's research, TSLA shares are currently experiencing their eighth peak-to-trough decline of 40%+ since 2018. Historically, volatility has been the rule, not the exception for TSLA shares. However, importantly, every sell-off has resulted in a lucrative buying opportunity for investors. In our view, the shares are largely discounting expectations for near-term negative sales impacts, but we think TSLA is well positioned to weather the consumer backlash with its \$36B+ of cash, industry-leading gross margins, and lesser exposure to tariffs relative to other automakers. Potential near-term catalysts ahead include the launch of the robotaxi service in the Austin market and the U.S. Department of Transportation announcing a regulatory framework to help expedite the adoption of autonomous vehicles. / Garrett Nelson

January 29, 2025

06:31 PM ET... CFRA Reiterates Buy Opinion on Shares of Tesla, Inc. (TSLA 389.10***):

We raise our 12-month target by \$10 to \$540, on a 2026 P/E of 140x, justified by long-term growth expectations. We lower our adjusted EPS estimates by \$0.20 to \$2.90 for 2025 and by \$0.15 to \$3.85 for 2026. TSLA posted Q4 adjusted EPS of \$0.73 vs. \$0.71 [+3%], four cents below consensus. The miss was driven by weaker-than-expected sales and margins, as revenue rose 2% to \$25.7B [\$1.43B below consensus] and gross margin contracted 140 bps to 16.3% [260 bps below consensus]. The shortfall was driven by a steep drop in vehicle price realizations. Despite the miss, and backing off its prior 2025 vehicle sales growth guidance of 20%-30% [with TSLA now saying it merely expects Auto growth to resume this year], shares jumped after hours as we believe the market is focused more on its expectation that TSLA aims to launch unsupervised full self-driving in parts of the U.S. later in 2025. We reiterate our Buy rating, with TSLA as one of the primary beneficiaries of a more accommodating regulatory environment in the U.S. / Garrett Nelson

January 02, 2025

11:07 AM ET... CFRA Reiterates Buy Opinion on Shares of Tesla, Inc. (TSLA 380.25***):

We lower our 12-month target price by \$30 to \$530, based on a 2026 P/E of 132.5x, justified by our long-term growth expectations. We also lower our EPS to \$2.35 from \$2.40 for 2024, but keep 2025 and 2026 at \$3.10 and \$4.00, respectively. This morning, TSLA reported Q4 deliveries of 495,570 vehicles [+2.3% Y/Y], short of the 510,000 consensus and our estimate of 516,000. While the quarterly volumes represented a record high, it was short of consensus. For the full year, TSLA's deliveries fell 1.1% to 1.79M units, while production was down 3.9% to 1.77M units. On the positive side, TSLA's energy storage deployments surged 244% to a record high of 11.0 GWh in Q4. We think this is likely to be a key bottom-line driver for Q4 given the segment's relatively strong margins. We recommend buying the dip, as we expect 2025 to be a year of positive developments related to a federal autonomous driving framework, which we expect to drive multiple expansion, more than offsetting concerns regarding slowing sales growth. / Garrett Nelson

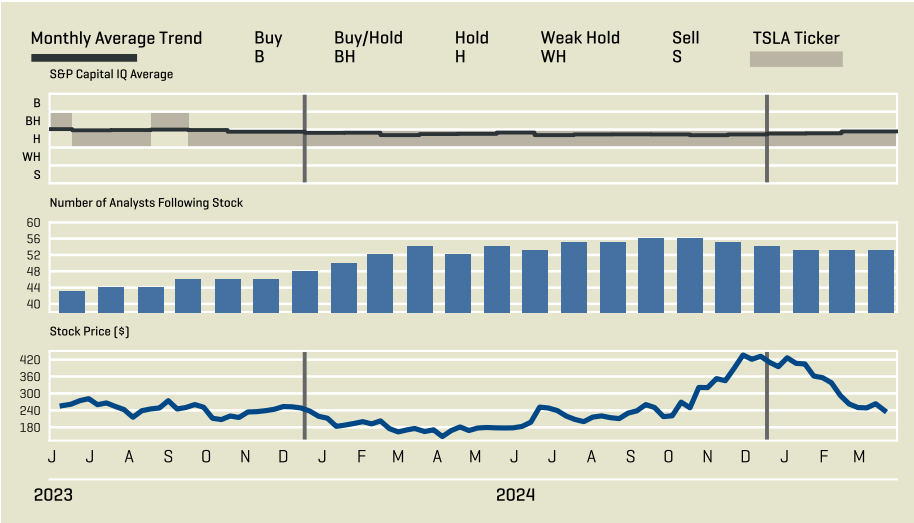
December 17, 2024

03:21 PM ET... CFRA Reiterates Buy Opinion on Shares of Tesla Inc. (TSLA 477.00***):

We raise our 12-month target to \$560 from \$450, based on a 2026 P/E of 140x. We increase our EPS estimates to \$3.10 from \$3.00 for 2025 and to \$4.00 from \$3.75 for 2026. Our estimate revisions reflect both higher revenue related to high-margin regulatory credits from the expected cancellation of the federal EV tax credit and lower unit cost assumptions. We anticipate the federal EV tax credit will be discontinued under new tax legislation likely to be passed next year, which we expect to have a disproportionate impact on the sales of non-Tesla EV models. This should benefit TSLA by increasing its automotive regulatory credit revenue due to programs such as California's Zero-Emission Vehicle (ZEV) program, which should result in Tesla earning more tradable ZEV credits that other automakers would need to buy to comply with regulations. These credits have been a major earnings driver for Tesla, which posted \$2.07 billion of automotive regulatory credit revenue in the first three quarters of 2024 [+53% Y/Y]. / Garrett Nelson

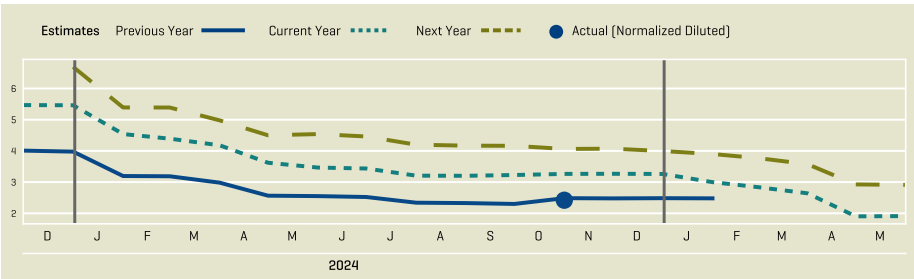
Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

Analysts Recommendations



	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	16	30	16	14
Buy/Hold	7	13	7	7
Hold	14	26	14	15
Weak hold	2	4	2	3
Sell	9	17	9	9
No Opinion	5	9	5	6
Total	53	100	53	54

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2026	2.91	4.74	1.30	36	97.82
2025	1.91	2.62	1.20	34	149.00
2026 vs. 2025	▲ 52%	▲ 81%	▲ 8%	▲ 6%	▼ -34%
Q2'26	0.65	0.84	0.34	10	437.18
Q2'25	0.46	0.71	0.30	26	617.24
Q2'26 vs. Q2'25	▲ 41%	▲ 18%	▲ 13%	▼ -62%	▼ -29%

Forecasts are not reliable indicator of future performance.

Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.

Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

Wall Street Consensus Opinion

Hold

Wall Street Consensus vs. Performance

For fiscal year 2025, analysts estimate that TSLA will earn USD 1.91. For fiscal year 2026, analysts estimate that TSLA's earnings per share will grow by 52.31% to USD 2.91.

Tesla, Inc.

Glossary

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index [MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index]], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsule the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+ Highest	B Below Average
A High	B- Lower
A Above	C Lowest
B+ Average	D In Reorganization
NC Not Ranked	

EPS Estimates

CFRA's earnings per share [EPS] estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics.

Abbreviations Used in Equity Research Reports

CAGR - Compound Annual Growth Rate
 CAPEX - Capital Expenditures
 CY - Calendar Year
 DCF - Discounted Cash Flow
 DDM - Dividend Discount Model
 EBIT - Earnings Before Interest and Taxes
 EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
 EPS - Earnings Per Share
 EV - Enterprise Value
 FCF - Free Cash Flow
 FFO - Funds From Operations
 FY - Fiscal Year
 P/E - Price/Earnings
 P/NAV - Price to Net Asset Value
 PEG Ratio - P/E-to-Growth Ratio
 PV - Present Value
 R&D - Research & Development
 ROCE - Return on Capital Employed
 ROE Return on Equity
 ROI - Return on Investment
 ROIC - Return on Invested Capital
 ROA - Return on Assets
 SG&A - Selling, General & Administrative Expenses
 SOTP - Sum-of-The-Parts
 WACC - Weighted Average Cost of Capital

Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes [paid in the country of origin].

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ 5-STARS (Strong Buy):

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★★ 4-STARS (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 3-STARS (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★★★★ 2-STARS (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



Tesla, Inc.

Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

STARS Stock Reports:

Qualitative STARS rankings are determined and assigned by equity analysts. For reports containing STARS rankings refer to the Glossary section of the report for detailed methodology and the definition of STARS rankings.

Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five (six) model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section seof the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of March 31, 2025

Ranking	North America	Europe	Asia	Global
Buy	44.8%	34.3%	45.9%	42.9%
Hold	42.9%	52.0%	42.1%	44.5%
Sell	12.4%	13.8%	12.0%	12.6%
Total	100.0%	100.0%	100.0%	100.0%

Analyst Certification:

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Tesla, Inc.

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